

Conditions of Contract — General Conditions (Extract of Relevant Clauses)

Kestrel Flyover Interchange Project — Package KFI-2

Document Reference:	KFI2-GC-2019
Date:	20-May-2019
Contract No.:	KMDA/KFI2/CW/2019-04
From:	Kaldera Metropolitan Development Authority (Employer)
To:	Ashgrove Infrastructure Consultants (Engineer); Rennick Builders Ltd. (Contractor)
Employer:	Kaldera Metropolitan Development Authority
Engineer:	Ashgrove Infrastructure Consultants
Contractor:	Rennick Builders Ltd.

PREFATORY NOTE

This document reproduces, in extract form, those Clauses and Sub-Clauses of the General Conditions of Contract considered relevant to termination and final account matters on this Contract. It is not a reproduction of the Contract in full, and no Clause or Sub-Clause not appearing in this extract should be taken to be absent from the Contract or of lesser standing than those which do appear. This Contract, and this extract, are entirely independent of, and share no clause numbering, defined terms, or party identity with, any other contract package.

CLAUSE 15 — TERMINATION BY EMPLOYER

15.1 — Notice to Correct

If the Contractor fails to carry out any obligation under the Contract, including a failure to proceed with the Works with due diligence having regard to the then-current programme, the Engineer may give the Contractor notice specifying the failure and requiring the Contractor to remedy it within a stated period, being a period the Engineer considers reasonable having regard to the nature of the failure. If the Contractor fails to remedy the failure within the period stated in the notice, or within any extension of that period the Engineer may allow, the Employer may proceed under Sub-Clause 15.2.

A notice under this Sub-Clause shall identify, with reasonable particularity, the respect in which the Contractor has failed to comply with the Contract, the action required to remedy that failure, and the period within which it must be remedied. The Contractor shall respond to a notice under this Sub-Clause in writing, stating the steps it will take to remedy the failure identified and the programme for doing so.

15.2 — Termination by Employer

The Employer may terminate the Contract, by notice to the Contractor, if the Contractor:

- (a) fails to remedy, within the period stated in a notice given under Sub-Clause 15.1, a failure identified in that notice;
- (b) abandons the Works or plainly demonstrates an intention not to continue performance of its obligations under the Contract;
- (c) without reasonable excuse, fails to proceed with the Works with due diligence, having regard to the then-current programme, such that completion within the Time for Completion (as it may have been

extended) is no longer achievable; or

- (d) is in persistent or repeated breach of a material obligation under the Contract.

A notice of termination under this Sub-Clause shall state the ground or grounds relied upon and the date on which termination is to take effect, being a date not less than seven days after the date of the notice. On the date termination takes effect, the Contractor shall cease further execution of the Works, leave the Site, and deliver up to the Employer such Contractor's documents, Plant, Materials and other things as the Employer instructs, and the Employer may complete the Works itself or through others.

15.3 — Valuation at Date of Termination

As soon as practicable after termination takes effect under Sub-Clause 15.2, the Engineer shall proceed to value the Works properly executed and Materials delivered to and reasonably credited on the Site as at the date of termination, having regard to the Contractor's Statements, measurement records, and such further records or inspection as the Engineer considers necessary, and shall notify the Contractor of that valuation, with reasons.

15.4 — Payment after Termination

Following a valuation under Sub-Clause 15.3, the Engineer shall determine, and certify in a Final Payment Certificate, the net balance due as between the Employer and the Contractor, calculated as follows: there shall be credited to the Contractor the value of the Works properly executed and Materials reasonably credited under Sub-Clause 15.3, together with any other sum properly due to the Contractor under the Contract as at the date of termination; and there shall be credited to the Employer the amount already certified and paid to the Contractor as at the date of termination, and delay damages accrued, at the rate stated in the Contract Data, for each day between the Time for Completion (as it may have been extended) and the date of termination. A cost, loss or expense arising from or in connection with the Contractor's own default, including its demobilisation from the Site following termination under this Clause, is not a sum properly due to the Contractor for the purposes of this Sub-Clause.

Retention Money held by the Employer as at the date of termination shall be included in the calculation under this Sub-Clause and released to the Contractor only to the extent, and at the time, the resulting net balance is due to the Contractor. The net balance determined under this Sub-Clause, whether due to the Contractor or to the Employer, shall be paid within the period stated in the Contract Data for payment of a Final Payment Certificate.

[END OF EXTRACT]
